WEEK 2 · LECTURE L1 OF 3 · UNIT I

Drivers of Digital Transformation

Why now? The forces that make transformation unavoidable, and what they do to the HR function.

Part 1 Technological, economic, workforce and competitive drivers

Part 2 Industry 4.0 and the evolving role of HR

Part 3 Applying the drivers to GreenLeaf

Read Westerman, Bonnet and McAfee (2014), Chapters 1 and 2; Scully-Russ (2019)

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THE IDEA THAT RUNS THROUGH ALL THREE HOURS

Technology adoption is not maturity.

Maturity is the organizational capability to make technology deliver —

and it is never evenly distributed inside a firm.

We will return to this three times today: once per hour.

HOUR ONE

Drivers of Digital Transformation

0:00 Quiz 1 · 0:12 The four driver families · 0:30 HR's evolving role · 0:50 GreenLeaf

OPENING QUESTION

GreenLeaf has run on paper for eleven years and made money doing it.

Nobody can name a single day on which paper stopped working.

So — why now?

What changed outside GreenLeaf that makes the paper suddenly intolerable?

THE DISTINCTION THAT GOVERNS THE HOUR

A technology is not a driver

DRIVER

A force that changes the cost of not acting.

TECHNOLOGY

The means by which acting becomes possible.

Cloud computing did not force GreenLeaf's hand.

What forced it was that a competitor's time-to-hire fell to twelve days while GreenLeaf's stayed at forty-seven.

0:12 – 0:30

Four families of driver

01 Technological

Falling cost, rising reach

SaaS over capex · APIs · mobile penetration · India Stack

02 Economic

People costs became visible

Attrition as a cost line · time-to-hire as lost revenue

03 Workforce

Composition and expectation

Gig growth · consumer-grade UX · skills half-life · dispersion

04 Competitive & regulatory

Obligations that do not wait

Employer brand · DPDP 2023 · Social Security Code · peer mimicry

DRIVER 01

Technological — falling cost, rising reach

Capex to opex. SaaS removes the capital hurdle that kept mid-size Indian firms out.

The API economy. Point solutions become composable rather than islands.

Mobile and data costs. For the first time the frontline is technically reachable.

Public digital infrastructure. India Stack, Aadhaar verification, DigiLocker, e-sign — identity and document checks at near-zero marginal cost. No Western framework anticipates this.

GREENLEAF TRACE

31%

hold a company email address

92%

carry a personal smartphone

The constraint that made the frontline unreachable has quietly expired. The systems have not noticed.

DRIVER 02

Economic — people costs became contestable

38%

store attrition

A replacement cost the CFO can compute

47

days to hire, frontline

Unfilled floors during the revenue that pays for the year

8,000

employees on paper

An administration cost curve that scales with headcount

The moment an HR problem acquires a rupee figure, it stops being an HR problem and becomes a Board problem.

DRIVER 03

Workforce — composition, expectation, skills, distribution

Composition	Contingent, platform and gig labor grows. GreenLeaf's last-mile network exemplifies it; its Employee_Master does not recognize it.
Expectation	Employees who book cabs, order food and file taxes on a phone will not accept a two-day paper leave approval. The benchmark is now consumer apps, not other employers.
Skills half-life	Reskilling is continuous, not episodic — Scully-Russ's core claim. Learning infrastructure becomes strategic rather than administrative.
Distribution	Hybrid and dispersed work removes the physical co-presence that made informal HR possible.

ANCHOR

GL-1002
Arjun Joshi

Appears in both Gig_Workforce and Employee_Master. One person, two records, never to be joined statistically.

Not a data error — a workforce whose shape the architecture was never built to hold.

DRIVER 04

Competitive, regulatory and institutional

Competitive

Talent markets are transparent. Employer brand, review platforms and referral velocity turn a bad candidate experience into a market signal.

Regulatory

DPDP Act 2023 makes employee data a compliance surface with consent obligations. Code on Social Security 2020 and state gig legislation attach duties to platform labor.

Institutional

Peers adopt. Vendors sell. Boards read the same three consultancies. The least respectable driver — and often the most powerful.

Regulation is the one driver that does not care whether you are ready.

0:27 – 0:30

What each family actually does

Technological	*makes it possible*
Economic	*makes it worth it*
Workforce	*makes it necessary*
Competitive & regulatory	*makes it urgent*

Which is GreenLeaf's Board responding to?

The fourth.

Institutional, not economic.

The transformation begins from a weak driver. Your pod must build the economic case yourselves.

Schwab's three claims, translated into HR

Velocity *Exponential, not linear*	Multi-year HR system programs are obsolete on delivery. Sequence in short cycles with measurable checkpoints — exactly what R2 and R3 will force.
Breadth & depth *Changes what we do and who we are*	Work identity, not just work process, is in play. Sunil Mehta is not resisting a system; he is defending a self-description built over eighteen years.
Systems impact *Whole systems transform*	You cannot digitize recruitment alone. Change the funnel and you change workforce composition, learning load, and eventually the employment relationship.

A caution: Schwab is a framing document produced by an institution with an interest in the framing. Manuti & de Palma are the corrective — technology arrives inside power relations.

0:38 – 0:45

Where the HR function is going

These positions accumulate — they do not replace one another.

1

Administrative custodian

Records, compliance, payroll

Value: accuracy

2

Service provider

SLAs, shared services, query resolution

Value: efficiency

3

Business partner

Workforce planning aligned to the business

Value: relevance

4

Digital change agent

Owns the operating model, the data, and the arbitration

Value: judgment

GreenLeaf is here

You are not learning these systems to operate them. You are learning them so that when a vendor, a CFO and an algorithm are in the room, HR is not the least informed party present.

0:45 – 0:50

Four capabilities — and where the course builds each

Data literacy

Reading evidence, resisting bad inference

Week 3 · Quiz 2

Technology judgment

Evaluating architecture without being an architect

Weeks 4–6 · R2

Algorithmic scrutiny

Auditing what the model actually does

Weeks 7–9 · R4

Change & worker voice

Carrying people, not just systems

Weeks 5–6, 10–11 · R3, R6

All four are capabilities. None is a tool. That distinction is exactly what maturity models were built to measure — which is the next hour.

0:50 – 1:00 · IN PAIRS

Rank the four driver families by their force on GreenLeaf specifically.

- Strongest to weakest. All four ranked.
- You must cite one fact from the GreenLeaf pack for your top-ranked driver.
- Two minutes of argument. Then write the ranking down.
- I will take four pairs — and I will not tell you who is right.

Where pairs disagree, name the fact that would settle it.

Often no such fact exists in the pack. That is the finding.

Going deeper: the theory underneath the drivers

The next slides set out the TOE framework, institutional isomorphism, the resource-based view and Ulrich's HR roles: what each claims, how it works, where it breaks, and what it means at GreenLeaf.

THEORY IN DEPTH · TORNATZKY AND FLEISCHER (1990)

Adoption depends on technology, organization and environment

THE CORE IDEA

The TOE framework explains why firms adopt new technology by looking at three contexts together.

HOW IT WORKS

Technology: what is available and fits. Organization: size, slack, skills. Environment: competitors, regulators, partners.

LIMITS AND CRITIQUE

A broad checklist rather than a precise theory; it names factors but not their weights.

AT GREENLEAF

GreenLeaf has the technology (India Stack, mobile) and environmental pressure (DPDP), but its organization lacks skills.

THEORY IN DEPTH · DIMAGGIO AND POWELL (1983)

Firms copy each other to look legitimate

THE CORE IDEA

Institutional isomorphism: organizations become alike, not only for efficiency but for legitimacy.

HOW IT WORKS

Coercive (laws, regulators), mimetic (copying peers under uncertainty), normative (professional standards).

LIMITS AND CRITIQUE

It explains similarity well, but less well why some firms resist or innovate.

AT GREENLEAF

The Board's question compares GreenLeaf with digital peers: a mimetic driver. The DPDP Act is coercive.

THEORY IN DEPTH · BARNEY (1991)

Advantage comes from resources rivals cannot copy

THE CORE IDEA

The resource-based view: lasting advantage needs resources that are valuable, rare, inimitable and non-substitutable.

HOW IT WORKS

Software anyone can buy is not rare. Advantage lies in how people, data and processes are combined.

LIMITS AND CRITIQUE

Critics call it hard to test, since rare resources are defined after the success.

AT GREENLEAF

Buying PeopleCloud gives no advantage. Clean data and a workforce able to use it might.

THEORY IN DEPTH · ULRICH (1997)

HR plays four roles, and the change agent role is the hardest

THE CORE IDEA

HR can be an administrative expert, employee champion, strategic partner and change agent.

HOW IT WORKS

Roles cross two axes: process or people, and day-to-day or future-focused.

LIMITS AND CRITIQUE

Later work warned that chasing strategic roles can neglect employee advocacy.

AT GREENLEAF

Digital HR frees time from administration only if HR then takes up the strategic and change roles.